

Close-Election Rating-Change Tables

Table 1: Close-Election Effects on Near-Term Moody's Rating Changes

	Rating downgrade		Rating upgrade	
	Within 1 yr	Within 2 yr	Within 1 yr	Within 2 yr
Close success	-0.019 (0.049)	-0.016 (0.049)	0.044 (0.038)	0.043 (0.045)
Controls				
Population size (log)	0.092 (0.071)	0.104 (0.076)	-0.133* (0.072)	-0.303*** (0.112)
Outstanding debt level (%)	0.000 (0.001)	0.000 (0.001)	0.000 (0.000)	0.000 (0.001)
Unemployment rate (%)	0.006 (0.008)	0.004 (0.009)	0.010 (0.010)	0.010 (0.010)
Revenue stability (%)	-0.002 (0.003)	-0.003 (0.003)	-0.001 (0.002)	-0.002 (0.002)
Government revenue (per capita)	-0.012 (0.021)	-0.007 (0.022)	-0.028 (0.018)	-0.045** (0.022)
Excess property tax capacity	2.219 (1.497)	2.082 (1.472)	0.564 (1.518)	0.329 (1.479)
Fiscal reserve (%)	-0.020*** (0.007)	-0.018*** (0.007)	-0.001 (0.005)	-0.003 (0.005)
Budget balance (%)	-0.007 (0.006)	-0.007 (0.006)	-0.005 (0.006)	0.001 (0.007)
Model-year fixed effects	Yes	Yes	Yes	Yes
Observations	131	136	131	136
Municipalities	94	94	94	94

Notes: The sample is operating override municipality-years within a ± 5 percentage-point yes-vote margin of the 50% passage threshold, collapsed to one observation per municipality-year (single close elections and same-direction multiples; mixed win-and-loss years dropped). *Close success* equals one for a barely-passed override and zero for a barely-failed override; there is no no-election control group. Outcomes are indicators for any Moody's rating change within one or two years relative to a pre-vote baseline rating two years before the model year. Models are linear probability models with model-year fixed effects; coefficients are changes in probability. All columns include the listed controls measured at the election fiscal year: Population size (log); Outstanding debt level (%); Unemployment rate (%); Revenue stability (%); Government revenue (per capita); Excess property tax capacity; Fiscal reserve (%); Budget balance (%). Standard errors in parentheses are clustered by municipality. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

Table 2: Close-Election Rating-Change Models: Robustness Across Estimators

	Rating downgrade		Rating upgrade	
	Within 1 yr	Within 2 yr	Within 1 yr	Within 2 yr
LPM, no controls	-0.028 (0.050)	-0.026 (0.050)	0.027 (0.036)	0.028 (0.046)
LPM, with controls	-0.019 (0.049)	-0.016 (0.049)	0.044 (0.038)	0.043 (0.045)
LPM, local-linear margin	0.048 (0.101)	0.076 (0.120)	-0.007 (0.061)	-0.064 (0.085)
Probit, average marginal effect	-0.019	-0.021	0.095	0.030

Notes: Each cell is the *close success* effect on the row outcome at the ± 5 percentage-point bandwidth. Linear probability rows report the coefficient with the municipality-clustered standard error in parentheses. The local-linear row adds the signed vote margin and its interaction with close success, so the reported effect is at the threshold. The probit row reports the average marginal effect, estimated without year fixed effects to avoid separation on rare outcomes; its significance markers come from the municipality-clustered latent coefficient. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

Table 3: Close-Election Event Study of Moody's Rating Levels (Pre-Trend Diagnostic)

	Rating gap (notches)
$h = -2$	-0.076 (0.139)
$h = -1$	0 (reference)
$h = 0$	0.126 (0.137)
$h = 1$	-0.070 (0.120)
$h = 2$	0.165 (0.158)
Observations	858
Events	220
Calendar-year fixed effects	Yes

Notes: Two-group event study of the Moody's rating level (notches) on event-time indicators interacted with *close success*, the common event-time path, and the close-success level, with calendar-year fixed effects and standard errors clustered by municipality. The reference period is $h = -1$ (the election fiscal year). Positive values mean close successes hold higher ratings than close failures. The $h = -2$ coefficient is the pre-trend test. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

Table 4: Close-Election Covariate Balance and Placebo Checks

Variable	Close failure	Close success	Difference	<i>p</i> -value
Baseline Moody's rating	6.557	6.533	-0.025	0.929
Population size (log)	3.873	3.894	0.021	0.701
Outstanding debt level (%)	55.195	57.883	2.688	0.609
Unemployment rate (%)	5.817	5.079	-0.737	0.048
Revenue stability (%)	83.938	85.762	1.824	0.142
Government revenue (per capita)	2.549	2.726	0.177	0.310
Excess property tax capacity	0.009	0.019	0.011	0.009
Fiscal reserve (%)	8.272	8.405	0.133	0.875
Budget balance (%)	1.926	3.209	1.283	0.106

Notes: Group means at the ± 5 percentage-point bandwidth for close successes versus close failures, with the difference and a two-sample t-test *p*-value. Controls are measured at the election fiscal year. Pre-election placebo (rating change in the two years before the model year, regressed on close success): downgrade -0.043 ($p = 0.191$), upgrade 0.022 ($p = 0.281$). The baseline rating and most controls are balanced; unemployment and excess tax capacity differ across groups.